

A GROWING MARKET

₹10.09

lakh crore

Total amount written off by scheduled commercial banks in the past five fiscals

₹2.89

lakh crore

Total amount of retail loans, or 28.63 per cent of the total written-off loans

₹7.43

lakh crore

Gross NPAs in the banking system

₹2.12

lakh crore

Share of retail NPAs of banks

he explains. This encourages unethical practices to earn more.

These smaller agencies don't follow a corporate structure, forget governance framework or training facilities. Plus, digital agencies are now taking away softer recovery assignments of the 0-90 days bucket. "The model is to push calls via bots, send SMS and reminders, and manage collection," says Shetty. So, the job of handling defiant borrowers is gradually shifting to local-level recovery agencies.

54 | "You won't be able to collect any money if someone follows RBI's rules," admits a recovery agent. And that's how tempers flare sometimes and situations spiral out of control. But field agents complain that they operate under constant pressure.

LENDERS UNDER SCRUTINY

A right to information (RTI) filed with RBI by BT reveals that Mahindra Finance's borrowers' agreements did not contain a repossession clause, and the company's policy on the empanelment of repossession agents did not specify a standard set of documents to be collected for evaluation, such as a reference check, background check to assess credibility, experience in the repossession business, etc. RBI's probe also reveals violations with regard to the fair practices code, outsourcing guidelines, and customer service. Mahindra Finance did not participate in the story.

Since only banks had to train and certify recovery agents, NBFCs had regulatory arbitrage for long. It was only in August 2022 that RBI corrected this anomaly. "The noise of unethical practices is coming from

smaller NBFCs, which are freely working without training and certification," says a consultant.

Lenders have also started putting pressure on recovery agencies in recent years. A south-based NBFC's CEO takes a recovery update every day at 9 am. "If he is travelling or on his way to the airport, the call takes place at very odd hours, like 6 am," says a recovery agent. Partly, the regulatory framework of special mention accounts (SMA) to spot stressed loans is the reason. As per the guidelines, an SMA-0 is an account where principal or interest payments are overdue for 30 days. SMA-1 is for dues for 30-60 days, and SMA-2 for 60-90 days. Beyond 90 days, a loan is classified as an NPA. "Banks transfer these accounts to recovery agencies in various buckets ranging from SMA-0 to NPAs," says a market participant.

These loans are also transferred product-wise from mortgages to personal loans. Inside banks, teams track recovery of SMAs, bucket wise and product wise, with agents every day. All loans have to be recovered within a 30-day period. If one agency is unable to deliver, the lenders hand over the loans in the next bucket to another player, thereby pitting agencies against one another. "We are judged by investors and analysts every quarter by our stressed loan pool, slippages, and recovery progress. We have to be on our toes," defends a banker.

There is also a new institutional framework of asset reconstruction companies (ARCs) that buys out NPA pools. But banks are generally not willing to sell them. "Very few financial institutions are willing to offload pools at 180 or 360 days. A typical portfolio coming to market would be somewhere from 700 to 1,000 days past due," says Neeraj Mohan, MD & CEO at International Asset Reconstruction Company (IARC).

Public sector banks (PSBs) follow a tender process to empanel agencies, while private lenders opt for a partnership model. The assignment of NPAs by PSBs takes place at branch, zonal, regional, and central office levels. M.B. Hariawala, an ex-banker, started an agency in Mumbai but shut it recently because of payment delays. "People keep changing at PSBs. Payment decisions are stuck for months," he complains. Banks, on condition of anonymity, argue that their primary responsibility is to focus on lending rather than creating resources to man-